Frequently asked questions about the midterms

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Below, we answer a series of frequently asked questions about the short- and long-term implications of the midterms.

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Does this open a non-Trump lane in the GOP? Potentially. The election results represent a striking repudiation of Trump-backed candidates, including in deep-red territory like Texas and Kansas. The scale of the defeat will probably accelerate an already-ongoing trend wherein some elected officials distance themselves from the administration. This presents a major opportunity for figures like outgoing Florida Governor Ron DeSantis, who likely now sees a viable lane for the 2028 presidential nomination and who has publicly broken with the administration over the last twelve hours.
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Will the results push the Democratic Party to the left? It’s unlikely. That moderates won in Trump-voting states—Kansas, Texas, Iowa, Ohio, South Carolina—is more important than Abdul El-Sayed’s victory in

Michigan. Wins across the Midwest and South mean the party is now more geographically diverse and the large House margin will allow party leaders to isolate the far left. The momentum is behind more moderate voices, like Senator Jon Ossoff (D-GA), not more progressive ones.

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Are there the votes in the Senate to remove Trump from office? What about to override vetoes? With at least 54 Senate seats under their control, Democrats will only need 6 GOP votes to clear the filibuster. However, overcoming a two-thirds majority threshold to remove Trump from office and override his vetoes remains out of reach as it would require at least 13 GOP votes – this is constrained by the fact that remaining GOP Senators, on the whole, are more aligned with Trump than prior to the election. We broadly expect only slight policy shifts, as Congress already had little role in Trump's agenda (see Democratic midterm sweep would bring limited changes in policy direction , 20 October 2026

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Will Alito and Thomas now retire? Probably not. While the scale of the Democratic margin in the Senate could keep the chamber in their hands through 2032, both Alito and Thomas have given no indication they are considering retirement and appear content to remain on the Supreme Court into their eighties. If they did retire in the lame duck, Republicans would work at hyperspeed to confirm replacements, but the fact that Senator-elect Sherrod Brown (D-OH) will take office in mid-December would complicate that pathway, especially with a number of moderate Republicans remaining in the chamber until January.

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Can the Democrats get to 60 Senate seats in 2028? Possibly. If Democrats end up with 56 seats (pending Mississippi and Alaska), they'll need four more net pickups in 2028 to reach a filibuster-proof majority. The map in 2028 is somewhat favorable to them, with obvious pickup opportunities in Wisconsin and North Carolina, but with tough defenses in Ohio and Pennsylvania. Reaching 60 will depend on whether the national tide is blue enough to flip states like Iowa, Kansas, Alaska, or Florida as well.

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Will Trump now be more cautious on Iran? We doubt it in the near term. Trump is now politically untethered which, in turn, reduces his perceived political risk of military escalation in Iran. This reinforces our call that escalation is likely around mid-November (65% odds, see The US will likely strike Iran in mid-November , 27 October 2026).

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What about Russia/Ukraine? Trump will remain focused on securing a long-shot deal with Putin prior to or at the upcoming G20 meeting in Miami. Within that, Trump will likely keep up diplomatic pressure on Zelensky until forced to relent due to lack of progress with Putin. Congress, on the other hand, has growing leverage to condition defense funding on outcomes for Ukraine, especially in 2027. Trump's mercurial nature toward Ukraine has been point of contention among GOP members behind closed doors which, now with a lack of political incentive to hold the line, could drive a break with the President.

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What will Trump's priorities be? Foreign policy wins (Ukraine, Iran, Cuba), personal grievances, and maintaining his control of the GOP. The latter will be much harder given the scale of losses last night. He will also lean into projects like the triumphal arch near Arlington National Cemetery, the redesign of East Potomac Golf Course, and efforts to name as many things after himself as possible. (Please see Trump's executive actions and legacy building will dominate post-midterms , 2 June 2026.)

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What are the implications for data centers? Texas is the canary in the coal mine in this regard. With the gubernatorial race flipping toward Democrats, expect a skeptical governing approach on data centers. Texas is set to host about one-third of all proposed data center capacity to be built out. However, our initial assessment is that the tools available to the governor to place durable moratoria may be more limited than expected. On a broader level, we expect Democrats to use the next two years to build a coherent AI policy, drafting legislation and passing messaging bills to force Republicans onto the record in anticipation of AI being a flashpoint in 2028 (see Democrats would use majority to reset terms of AI debate , 19 October 2026).

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How do Vance and Rubio navigate the next year? They need to choose between differentiating themselves from Trump to keep their 2028 chances alive, or holding on to Trump's base as their foundation for the primaries. Rubio has isolated himself from Trump's most unpopular policies and aligned himself with the administration's wins in the Western hemisphere, and is well-positioned should he choose to carve out his own political identity. Vance's path to power runs through Trump's MAGA base, which is much weaker than it was two years ago, and the states where he would have been looking to build his coalition most aggressively rejected Trump's Senate nominees last night. He is in a much weaker position, and the Republican field is much more open for a non-MAGA figure.

Bessent accepts the limits of his toolkit as Treasury readies auction changes. Treasury held auction sizes unchanged but dropped "at least" from its pledge to keep them steady "for the next several quarters," which could be read as implying changes as soon as the first half of 2027.

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Treasury signaled that changes will come through regular quarterly auction-size decisions rather than ad hoc announcements and bigger buybacks. We think Bessent has heeded market feedback and accepted the constraints on his toolkit's ability to lower Treasury yields (see: Overview of US Treasury's toolkit to try to lower yields , 8 September 2026).

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T-bills will fill the funding gap for now. Later changes, likely more 2- to 7-year notes and fewer 20- and 30-year bonds, may leave the debt's average maturity little changed.

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With Democrats controlling Congress and fiscal consolidation unlikely, dealers' projected $2.14 trillion funding shortfall for fiscal 2028-29 makes larger auctions likely.

Quote of the Day

"The reason we lost is the war. The president himself said so last night. If you'd like to argue it was worth it, that losing the Senate for the next 6 years was worth it, then do so. Argue it was a worthwhile cost to pay. Agree or disagree, that's at least honest. But everyone knows why we lost. And any honest conversation about where we go from here must start there." - JD Vance posting on X about last night's Republican losses. This is unusually critical language about one of Trump's signature issues from the Vice President, and it should be read as an early sign of how Vance will attempt to distance himself from Trump while retaining his claim to the MAGA base.

On the Radar

9 November: Congress returns from recess

18-19 November: APEC leaders meeting in China

11 December: Government funding runs out

14-15 December: G20 summit in Florida

15 December: Senator-elect Sherrod Brown (D-OH) is sworn in

3 January: New Congress is sworn in

10 January: US-China tariff truce expires

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